

Earnings per Share of Common

Year	As reported	As corrected for annual depreciation charge of \$1,022,000
1924	\$0.40(d)	\$2.51(d)
1925	6.02(d)	11.13(d)
1926	22.42	17.31
1927	5.21	5.10
1928	5.34(d)	7.45(d)
5-year average	\$3.33	\$0.06

Company	Average property account (net) 1928–1932	Average depreciation charge 1928–1932	% of depreciation charge to property account
American Sugar Refining	\$60,665,000	\$1,050,000*	1.73†
National Sugar Refining	19,250,000‡	922,000‡	4.79‡
American Car and Foundry	72,000,000	1,186,000§	1.65
American Steel Foundries	31,000,000	1,136,000	3.66

* Exclusive of depreciation charged to surplus. Including the latter, this figure would be \$1,358,500.

† Including depreciation charged to surplus this figure would be 2.24%.

‡ Based on the four years 1929–1932, inclusive. Figure for 1928 unavailable.

§ Estimated at one-half of the expenditures for renewals and repairs. In the case of United States Steel for the period 1901–1933, the charge for depreciation averaged about 40% of the total allowances for both maintenance and depreciation.

Both comparatively and absolutely the depreciation allowances made by American Sugar and American Car and Foundry appear to have been inadequate.⁴

⁴ For examples of insufficient charges and charges less than income tax deductions by industrial companies see: Harbison-Walker Refractories Company charge of \$296,000 in 1936, termed “grossly inadequate” by new management and revised to \$472,000; McKeesport Tin Plate Corporation report for 1937 stating that the charge on the income tax return was \$803,000 vs. \$425,000 in statement to stockholders. Similarly, National Enameling and Stamping Company for each year 1935–1937 charged about \$185,000 in its income account as contrasted with about \$280,000 on its tax return. In 1938 insufficient depreciation for 1933–1937 was cured by a charge of \$443,000 to surplus. The auditors for the Cudahy Packing Company stated in the certificate accompanying the 1939 report that in their opinion the reserves for depreciation set up by the company in years prior to Oct. 29, 1938, were inadequate.